Creating provision for depreciation account



In this method, a provision for depreciation account is created. The amount of depreciation charged every year is transferred to provision for depreciation account and not to asset account. Hence, asset account appears in the balance sheet at its original cost. Amount in the provision for depreciation account is shown on the liabilities side of the balance sheet under the head current liabilities and provisions. Depreciation for every year being nominal item is closed by debiting to profit and loss account of the respective year.

Example: Original cost of plant and machinery ₹ 10,000 Depreciation ₹ 1,000

Method 1: When provision for depreciation account is not created

Balance sheet (extract)				
Liabilities	**₹**	**Assets**		**₹**
		Plant and machinery	10,000	
		Less: Depreciation	1,000	9,000

Method 2: When provision for depreciation account is created

Balance sheet (extract)			
Liabilities	**₹**	**Assets**	**₹**
Provision for depreciation	1,000	Plant and machinery	10,000



The following journal entries are made under provision for depreciation account method:

a) For purchase of asset

Asset A/c	Dr.	xxx	
To Bank A/c			xxx

b) For providing depreciation at the end of the accounting year

Depreciation A/c	Dr.	xxx	
To Provision for depreciation A/c			xxx

c) For closing the depreciation account

Profit and loss A/c	Dr.	xxx	
To Depreciation A/c			xxx

On sale of asset

d) For transferring accumulated depreciation on asset sold to asset account

Provision for depreciation A/c	Dr.	xxx	
To Asset A/c			xxx

*__Note__: After making this entry, the asset account gets reduced by the amount of accumulated depreciation upto the date of sale. In other words the asset appears at book value.

e) For sale of asset

Bank A/c	Dr.	xxx	
Profit and loss A/c	Dr.	xxx	
To Asset A/c			xxx

* Note: Profit and loss A/c will be credited if there is profit on sale.

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